

Redefining Value

IAASB Board Meeting

21 September 2017



About WBCSD and Redefining Value

WBCSD

The **World Business Council for Sustainable Development** is a global, CEO-led organization of around 200 forward-thinking businesses working together to accelerate the transition to a sustainable world.

Our mission is to accelerate the transition to a sustainable world by making more sustainable business more successful.

Our vision is to create a world where more than 9 billion people are all living well and within the boundaries of our planet by 2050.

Our Members



Redefining Value

Advancing the Measurement, Valuation and Reporting of non-financial aspects of business impacts and performance.

The program's objectives are to:

- Integrate **natural and social capital measurement and valuation** into corporate performance management and decision-making,
- **Improve the effectiveness of both internal and external non-financial reporting**, to reflect the true value of a company and to disclose true profit and cost,
- Accelerate progress to a world where more sustainable companies are recognized and rewarded - and are therefore more successful.

Redefining Value Projects

Reporting and Disclosure

- Reporting Matters
- The Reporting Exchange

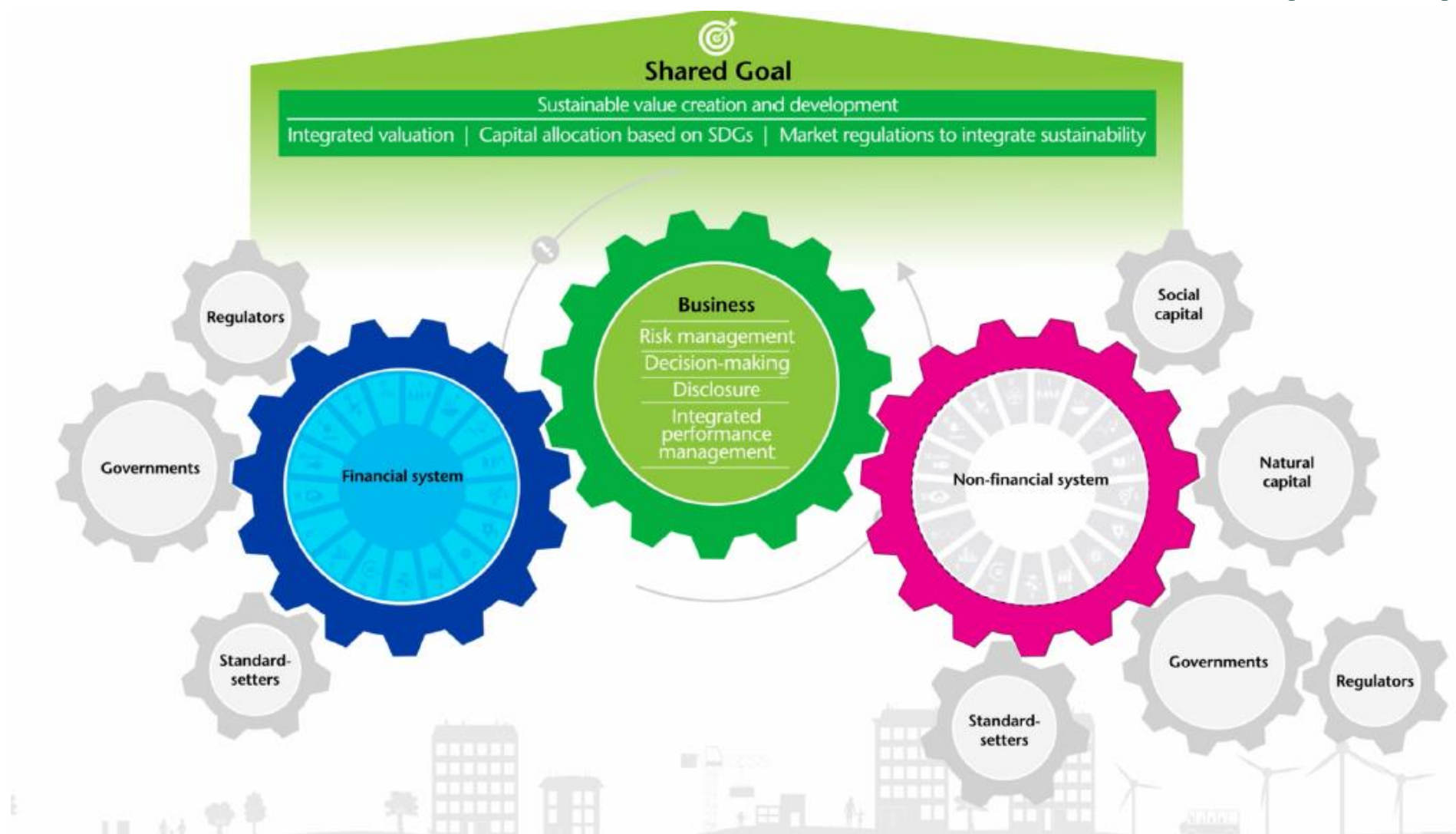


Valuation

- Natural Capital Protocol
- Social Capital Protocol



Conservation and Financial Markets Initiative (CFMI)



CFMI Projects

Risk Management , Integrated Performance Management and Governance

Risk is seeking to achieve greater alignment in how sustainability risks are mainstreamed and managed

Purpose Driven Disclosure

PDD is designed to seek alignment on materiality & metrics as applied to sustainability information for internal management and for disclosure in mainstream reporting vehicles.

Assurance

Assurance aims to increase the number of companies obtaining assurance of their reports against international standards.

Assurance Project - Phases

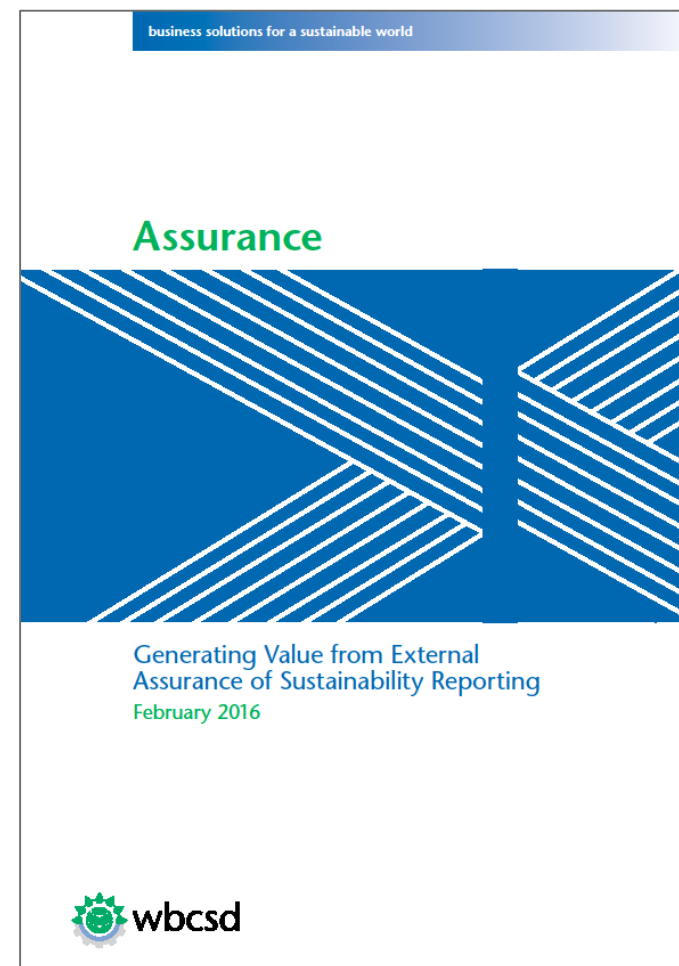


Assurance 1.0

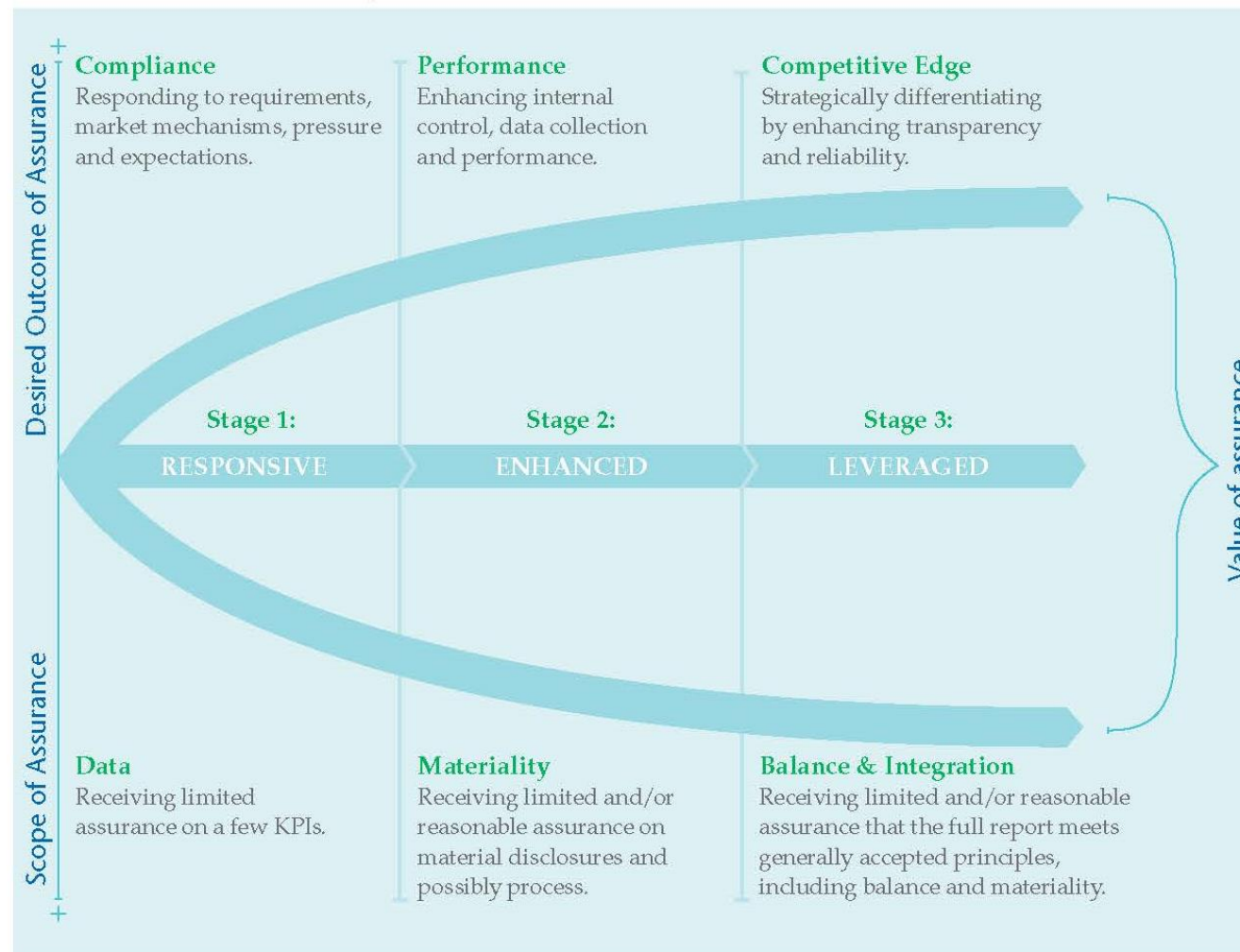
Assurance 1.0 Project

WBSCD Report 2016

- Strong member support for assurance
- Not just about assurance but implications for all in the reporting supply chain
- Maturity model
- Assurance in the context of value creation
- Revised standard or guidance to support ISAE 3000



Assurance Maturity Model

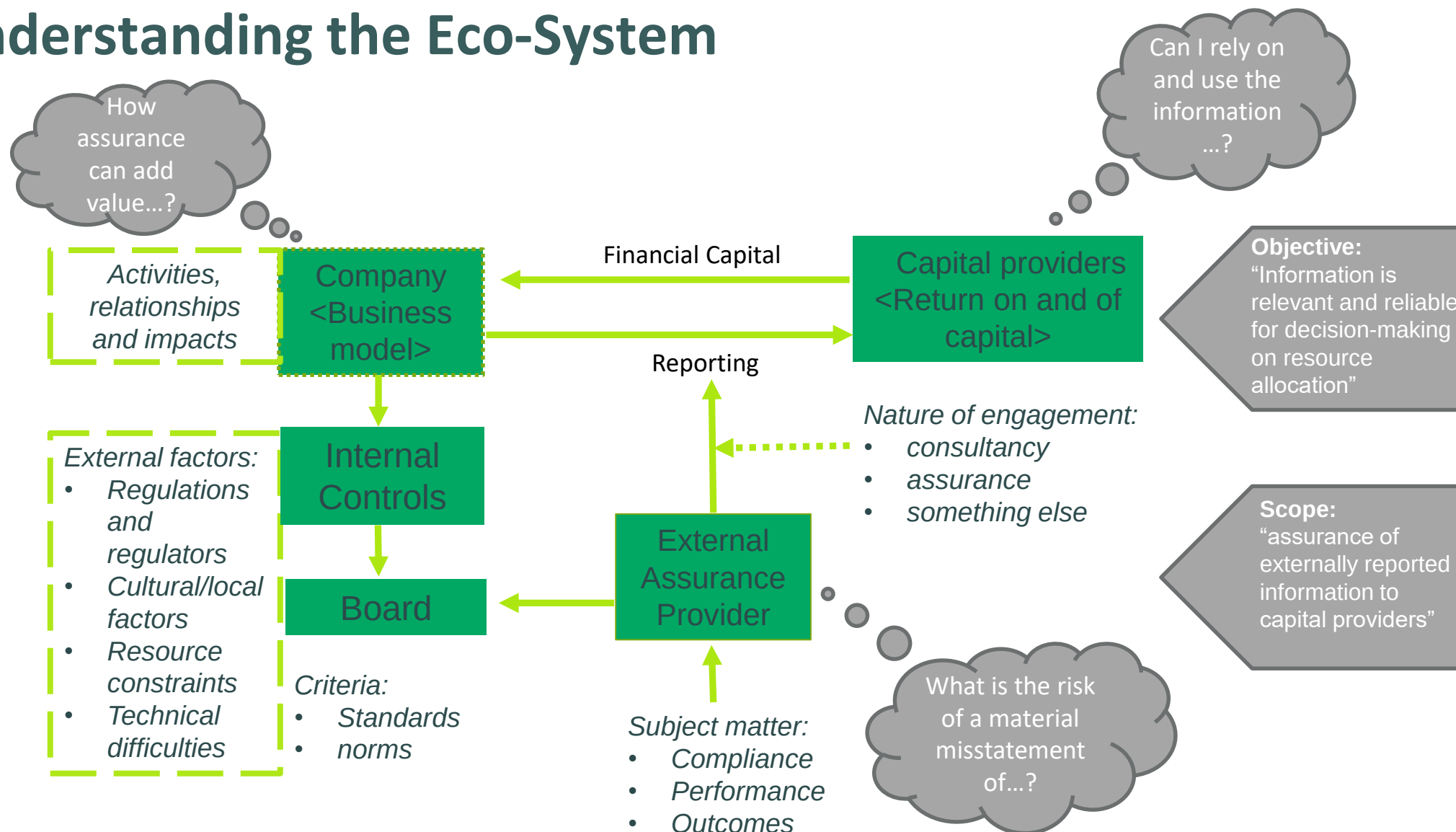


Assurance 2.0

Assurance 2.0

- Our aim is to ensure that sustainability information is considered alongside financial information in decision-making.
- Achieving financial-grade quality for sustainability information integrated into a single report.
- Assurance of sustainability information continues to be an issue for preparers and assurance providers. Investors have consistently stated that assurance is essential for them to have confidence in sustainability information.
- Capital providers need to have trust and confidence in the information reported. To that end, external assurance provides a critical role in building that trust and confidence.

Understanding the Eco-System



Terms of Reference – Project Aims

The aim of the new project is to strengthen the assurance of ESG information by:

- Building consensus around the issues that need to be addressed to strengthen external assurance processes and outcomes;
- Engaging with international and national standard setters such as the IAASB and participating in their processes to consider the development of guidance; and
- Assisting the development of implementation tools to assist preparers, assurance providers and capital providers.

Assurance Working Group Members

Aditya Birla Group	GRI	Shift
AICPA	Honda	Social Value
Arcadis	IAASB	Solvay S.A.
CLP Group	International Integrated Reporting Council	Stora Enso
Deloitte	International Paper Company	Syngenta International AG
DNV GL	ICAEW	The Dow Chemical Company
ERM	KPMG	SAICA
EY	NBA	Volkswagen
Eskom	PwC	
FSR Denmark	Philips	



Denotes the companies that respondents to the IAASB consultation would advise that the IAASB collaborate with.

Assurance Work Streams

The Assurance 2.0 project will consist of a number of different strands of work all of which seek the support and engagement of our working group, and expert advisors.

- Understanding investor needs and educating them on assurance
- Company focused guidance
- Assurance providers

Investor Needs

- Whilst assurance of ESG information for many companies can be time consuming and expensive, it is imperative that businesses are aware of what it is investors are actually seeking from the assurance statement. Engaged with Ceres and PRI on this work.
- This part of the project will involve a consultation with investors to establish the key issues around assurance of ESG information. We will also consider what education is needed to address the 'expectation gap' in external assurance

Company Focused Guidance

- We are working with companies to develop a series of ‘pathfinder’ studies to support our work on developing practical guidance; these projects are more ‘experiments’ to test ideas and find new solutions.
- We will seek to understand the current reporting and assurance issues faced by a member company and then work with key personnel to develop solutions drawing on existing frameworks and noting how those frameworks need to be modified or adapted to make them more effective. The results will be published as pathfinder studies and serve as an input to our work with standard setters and others to improve existing reporting frameworks.
- We will develop guidance around the assurance engagement process.

Internal controls

We are developing guidance and a toolkit to help companies apply internal controls to non-financial data. This will be a fundamental step towards achieving reasonable external assurance

Standards and Guidance for Assurance Providers

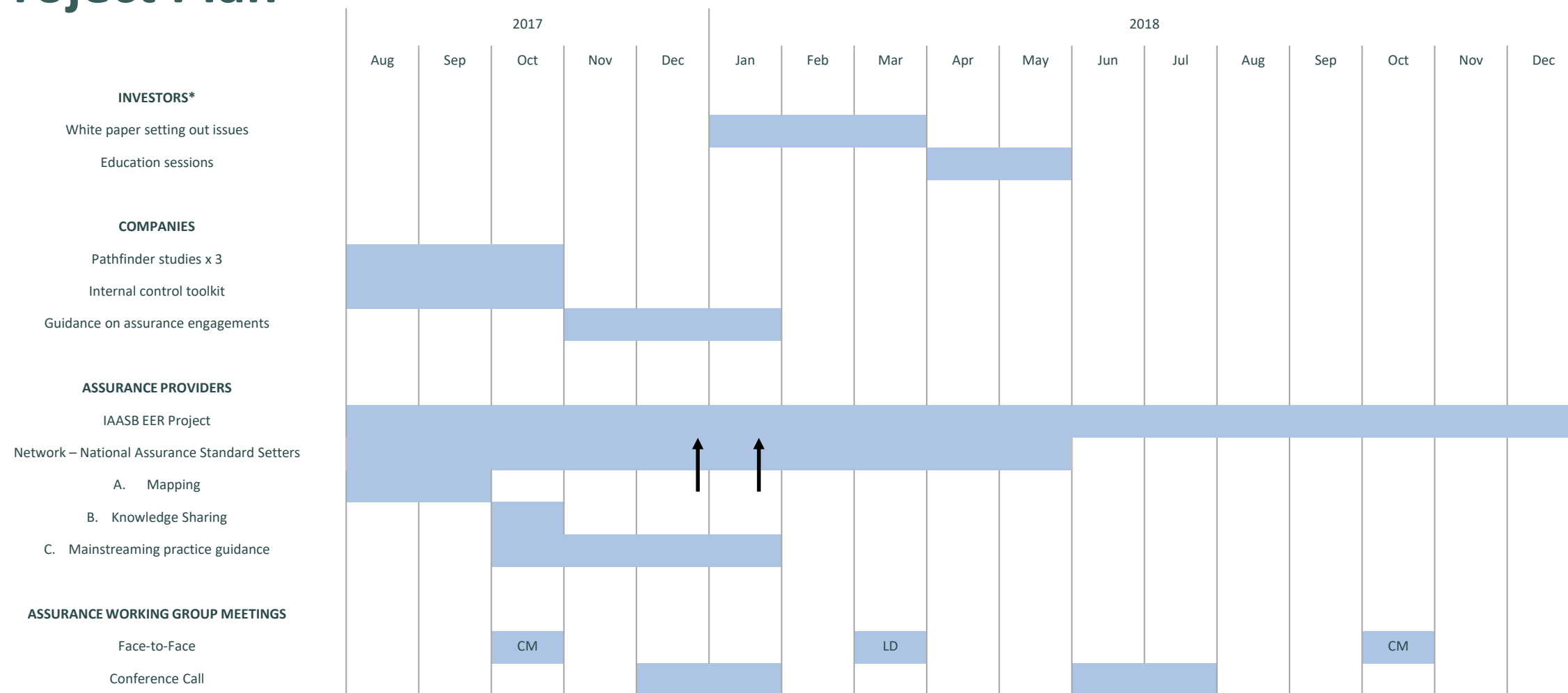
National Standard Setters

We have established a group of leading national standard setting bodies and Accountancy Europe to establish common ground and ensure that all projects are aligned to fit within the frame of the IAASBs work but also address local needs

IAASB

We are currently seeking a key collaboration with IAASB for our work on assurance. This will be a significant opportunity to develop the guidance around external assurance of sustainability information and improve the quality of reported information, as an independent organization the IAASB will help to meaningfully develop the work in this field.

Project Plan



• to be discussed and co-ordinated with Ceres

CM – Council Member
LD – Liaison Delegate

Next Steps

- Finalisation of funding proposal and collaboration arrangements with IAASB
- Complete some pathfinder study reports to share at the Council Meeting in Mexico
- Draft of Internal Controls Toolkit for October/November
- Assurance Working Group Closed Session – Council Meeting Mexico
Wednesday 18 October 8.30am – 12.30pm.
- Potential National Standard Setters Workshop in December

abela@wbcasd.org

Our website:

www.wbcasd.org

